Claim No. CL-2025-000287

IN THE HIGH COURT OF JUSTICE

BUSINESS AND PROPERTY COURTS OF ENGLAND AND WALES

COMMERCIAL COURT (KBD)

B E T W E E N:

PENROSE ROBOTICS LIMITED

Claimant

- and -

CALDERVALE DISTRIBUTION LIMITED

Defendant

DEFENCE AND COUNTERCLAIM

DEFENCE

1. Paragraphs 1 to 6 of the Particulars of Claim are admitted. The existence and principal terms of the Agreement are not in dispute, save as set out below.

2. As to paragraphs 7 and 8, it is admitted that the Acceptance Criteria were a sustained average pick throughput of not less than 650 units per hour per zone and fleet availability of not less than 98%. It is denied that the achievement of those criteria was conditional upon the Dependencies in the manner alleged. The Defendant's case is that clause 7 imposed only reasonable co-operation obligations, which the Defendant discharged.

3. As to paragraph 12, it is denied that the Defendant failed to discharge the Dependencies. The SKU master provided on 18 September 2024 was accurate in all material respects; any errors were de minimis and were corrected by 26 September 2024. It is admitted that OrchestraOS was hosted on the Defendant's virtual environment, but it is denied that the environment was non-compliant or that host latency caused any material throughput shortfall.

4. As to paragraph 13, it is denied that the Defendant's conduct caused the performance shortfall. The Defendant's case is that the System as delivered was inherently incapable of meeting the Acceptance Criteria: during the Acceptance Period, measured throughput averaged 521 units per hour per zone and fleet availability averaged 93.8%, materially below the contractual thresholds. The Defendant relies on its own DC throughput records and on the evidence of its operations team.

5. As to paragraphs 14 and 15, it is admitted that the Defendant has not paid invoices PR-2024-0418 (£1,275,000) and PR-2024-0427 (£162,500). It is denied that those sums are due. By clause 12.3, the Milestone 4 payment was conditional upon System Acceptance, which never occurred. The Defendant was entitled to withhold the sums claimed.

6. As to paragraphs 16 and 17, the Defendant's termination by letter dated 7 February 2025 was a valid termination for the Claimant's repudiatory breach, alternatively a valid termination under clause 18.2 for failure to achieve System Acceptance by the longstop date of 31 January 2025. It is denied that the Defendant repudiated the Agreement.

7. As to paragraphs 18 and 19, the alleged loss is denied. No sums are due to the Claimant. The Schedule of Loss is not admitted and the Claimant is put to strict proof of each item.

8. Save as expressly admitted, each and every allegation in the Particulars of Claim is denied as if set out and traversed seriatim.

COUNTERCLAIM

9. The Defendant repeats paragraphs 1 to 8 above.

10. In breach of clause 6 and of the implied terms as to reasonable skill and care, the Claimant supplied a System which failed to meet the Acceptance Criteria and was not fit for the Defendant's known purpose of high-throughput e-commerce fulfilment.

11. By reason of the Claimant's breaches, the Defendant has suffered loss and damage, namely: (a) lost margin and additional agency labour during the 2024 peak trading period of £1,180,000; (b) remediation and re-slotting costs of £265,000; and (c) the cost of procuring a replacement fulfilment system from a third party, £655,000; a total of £2,100,000.

12. The Defendant is entitled to and claims interest on the above sums pursuant to section 35A of the Senior Courts Act 1981.

AND the Defendant counterclaims:

(a) damages of £2,100,000;

(b) interest pursuant to section 35A of the Senior Courts Act 1981; and

(c) costs.

STATEMENT OF TRUTH

The Defendant believes that the facts stated in this Defence and Counterclaim are true. I am duly authorised by the Defendant to sign this statement.

Signed: .....
Name: Geraldine Voss

Position: Chief Operating Officer, Caldervale Distribution Limited

Dated: 9 July 2025

Served by Marlowe Greaves LLP, solicitors for the Defendant.